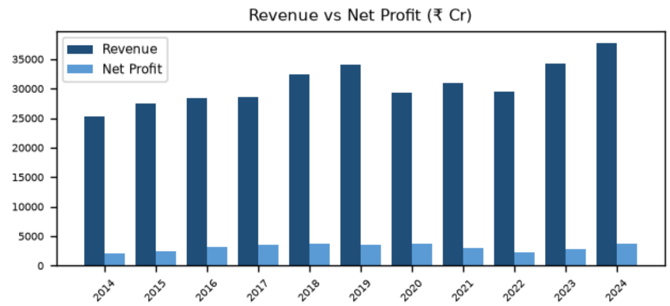
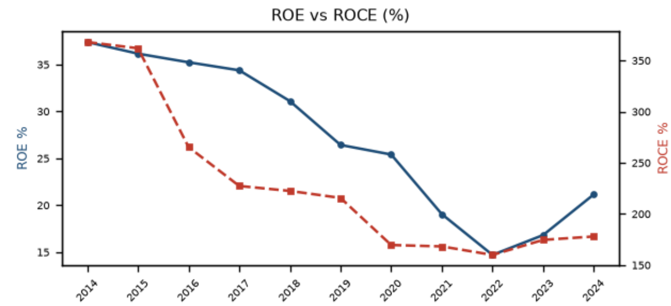
Hero MotoCorp Ltd (HEROMOTOCO)

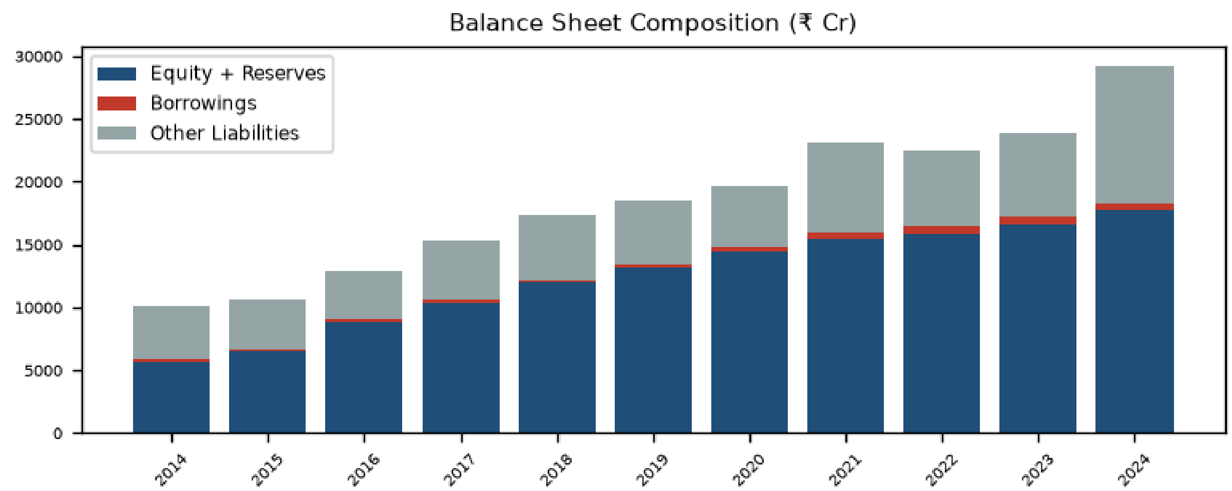
Consumer Discretionary — Two Wheelers

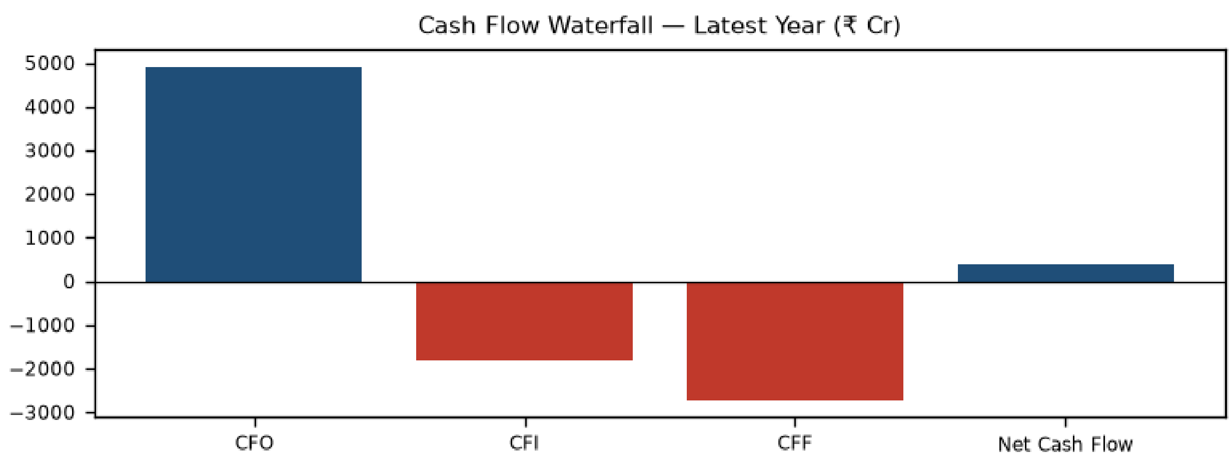
ROE	ROCE	Net Profit Margin
21.1%	177.9%	9.9%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
0.0x	2.2%	3095





Hero MotoCorp Ltd (HEROMOTOCO) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Shareholder Returns

Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (85% confidence)
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (91% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (97% confidence)
✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
✓ Growing asset base funded by internal accruals reflects self-sustaining growth (65% confidence)

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (70% confidence)
✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (63% confidence)